Two months later, in April, Varin and Muthuraman had a meeting in Barcelona. Following the meeting, Muthuraman wrote to Ratan that Varin was eager to conclude some sort of a deal and had not taken anything off the table. Varin had told him that ‘anything and everything is possible’. During the several meetings Muthuraman had with Leng and Varin, a suggestion had come from the European side that Tata Steel could consider buying the controlling shares of Corus from the market, as it was a listed company. They had offered to facilitate the purchases. A suggestion was also made for Tata Steel to buy the shares in the name of a proxy and later transfer them to its own name. These proposals were anathema to Ratan—he was opposed to the lack of transparency involved in the process. He strongly derided any form of ‘backdoor entry’, says Muthuraman.

Almost eight months after the first meeting in Mumbai, in May, a private and confidential, indicative and non-binding proposal (codenamed Project Downing) was sent by Ratan to Corus, addressed to Leng. In the proposal, he articulated the preliminary strategic rationale for a possible partnership along with his pre-conditions and his financing plans, should they agree to a deal.

The media, however, got a whiff of the meetings and the correspondence between the Tatas and Corus. Tata Steel was not the only organization that was interested in acquiring Corus. Some three years back, Corus and the Brazilian steel group, Companhia Siderurgica Nacional (CSN) had almost formed a partnership. However, the deal did not go through. In the interim, CSN acquired a 3.8 per cent stake in Corus.

As the Tatas’ interests in the European Steel maker became public, it was evident that CSN would not idly stand by while Corus was bought by another entity. In a bid to avoid a face-off between the two, Ratan met with Benjamin Steinbruch, chairman and CEO of the Brazilian steel group in London, to find a way to prevent Corus from taking advantage of the competition between them. The meeting was held in secrecy at the St James’ Court Hotel.

During the discussions, Tata Steel put forth a proposal to geographically divide Corus’s operations between the two suitors: Tata Steel would buy the Netherlands operations and CSN those that were hitherto under British Steel. Steinbruch was keen on this because he was lured by the prospects of reaping huge profits as he could carry over the losses of the UK operations, says Leng. He was also planning to produce steel cheap because he could